25 Neil bought a house for £235 000

In the first year the value of the house depreciated by 4%
In each of years 2 and 3 the value of the house increased by 6%

Work out the value of the house at the end of year 3

Year1:£235000 × 0.96 = £225600.

1 mark
Depreciate by4%

Year2:£225600 × 1.06 = £239136.

1 mark
Two6% increases

Year3:£239136 × 1.06 = £253484.16.

1 mark
£253484.16

Combined:£235000 × 0.96 × 1.06^2.

£.....

(Total for Question 25 is 3 marks)